



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Robert L. Vestal, Director of Public Works | City Engineer
DATE: August 4, 2026
SUBJECT: Pennsylvania Grade Separation – Funding Strategy

Description: Discussion regarding the funding strategy for the Pennsylvania Avenue Grade Separation Project, including the Trade Corridor Enhancement Program (TCEP), additional grant opportunities, current project progress, and ongoing efforts to advance the City's number one Strategic Plan priority toward construction.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

I move to authorize the City Manager to withdraw the Pennsylvania Grade Separation Project from the 2024 Trade Corridor Enhancement Program (TCEP), and to reapply for the 2026 TCEP cycle.

Recommendation:

The recommended withdrawal is a strategic funding decision and does not represent a change in the City's commitment to the Pennsylvania Avenue Grade Separation Project. The project remains the City's number one Strategic Plan priority, and RCTC and City staff will continue advancing design, right-of-way, environmental permitting, utility coordination, and required agreements with Caltrans and Union Pacific Railroad (UPRR) based on the current project schedule. At the same time, staff will continue aggressively pursuing federal, state, regional, and other funding opportunities necessary to close the remaining construction funding gap and position the project for delivery at the earliest feasible date.

Discussion:

On July 21, 2026, the Riverside County Transportation Commission (RCTC) notified the City of concerns regarding the Pennsylvania Avenue Grade Separation Project's ability to meet the funding deadlines established under the 2024 TCEP. Under the current

program requirements, construction funds must be allocated by June 2027, which already reflects a previously approved one-year extension.

To meet the allocation deadline, the Project must achieve Ready to List (RTL) status. RTL requires completion or sufficient resolution of environmental compliance, right-of-way certification, final plans, specifications and estimates, environmental and construction permits, utility coordination, funding and programming requirements, constructability and risk reviews, and required agreements with Caltrans and UPRR, including the UPRR Construction and Maintenance Agreement.

RCTC identified several schedule risks that could affect the Project's ability to complete these requirements by June 2027. These include third-party agency review and approval timelines, utility relocation coordination, environmental permitting, right-of-way acquisition, coordination with the Master Drainage Plan Line 2 Project, required agreements with UPRR and Caltrans, and the remaining project funding gap. Staff has reviewed the concerns identified by RCTC and agrees that, despite continued progress, several critical schedule elements are dependent upon outside agencies and processes that the City and RCTC do not fully control.

If the Project receives a TCEP award but is unable to achieve RTL by the allocation deadline, per adopted guidelines, the California Transportation Commission will deprogram the funding. Such an outcome could negatively affect the City's standing in future competitive funding cycles and potentially result in greater scrutiny of project readiness.

For this reason, staff recommends voluntarily withdrawing from the current TCEP cycle and reapplying in the 2026 cycle. This approach provides additional time to advance the Project, resolve remaining third-party requirements, and submit a stronger application based on a substantially more mature project. It may also provide an opportunity to request additional TCEP funding to address the Project's current funding gap.

Reapplication is not without risk. TCEP is highly competitive, and there is no guarantee that the Project will receive an award in a future cycle. Construction costs may also continue to increase, and the City will be required to prepare an updated application, benefit calculations, and supporting materials. Both City and RCTC staff believes, however, that these risks are preferable to proceeding with the current award that includes a schedule that has a significant risk of not meeting the required allocation deadline.

Importantly, withdrawal from the 2024 TCEP cycle is a funding strategy decision, not a decision to delay or suspend the Project. Staff intends to continue advancing the Project according to the existing schedule and will proceed with the work necessary to position the Project for construction as soon as funding and required approvals are secured.

Current Funding Summary

The City has secured funding for the Pennsylvania Avenue Grade Separation Project from a variety of local, regional, state, and federal sources, reflecting the importance of the Project and the significant investment already committed toward its completion. The following table summarizes the funding currently secured or programmed for the Project.

Funding or Grant Program	Funding Committed
Trade Corridor Enhancement Program (TCEP)	\$49,400,000
Surface Transportation Block Grant (STBG)	\$7,225,000
Community Project Funding / Congressionally Directed Spending (Earmark)	\$2,000,000
Senat Bill 125 Grant	\$5,000,000
Union Pacific Railroad Contribution (UPRR)	\$3,150,000
Regional Transportation Improvement Program Funds (RTIP)	\$6,698,000
Rail & Bridge Developer Impact Fees (DIF)	\$12,548,093
General Fund	\$5,820,000

Additional Grant Opportunities

The City is actively pursuing additional federal funding to close the remaining construction funding gap. The City recently submitted a Railroad Crossing Elimination Program application requesting approximately \$45.5 million. The requested federal share represents approximately one-third of the Project cost, with the non-federal contribution substantially exceeding the program's minimum match requirement. Results are anticipated in January 2027.

The City also submitted a Consolidated Rail Infrastructure and Safety Improvements grant application requesting approximately \$54.8 million. Based on the current estimated Project cost of approximately \$147.6 million, the Project includes approximately \$76.9 million in non-federal funding and approximately \$15.9 million from other federal sources. The significant non-federal contribution strengthens the Project's competitiveness and keeps the overall federal share below 50 percent. Results are anticipated in December 2026.

Additionally, the City requested approximately \$54.8 million through the Infrastructure for Rebuilding America program. The requested INFRA funding represents

approximately 37 percent of the total Project cost. Including other federal sources, total federal assistance would represent approximately 48 percent of the Project, with approximately 52 percent funded through non-federal sources. Results are anticipated in February 2027.

Staff will continue evaluating and pursuing additional funding opportunities as they become available. The City's funding strategy is intentionally diversified so that the Project is not dependent upon the outcome of any single grant program.

Project Status

The Pennsylvania Avenue Grade Separation Project continues to advance toward final design and construction readiness. The 65 percent PS&E package has been reviewed by Caltrans, and the 95 percent submittal is anticipated in September. Right-of-way activities, environmental permitting, and utility relocation design are progressing concurrently. Coordination with UPRR also continues, with the 100 percent track and shoofly design and updated structural plans recently resubmitted for review.

While progress continues, several schedule risks remain, primarily associated with third-party review timelines, utility relocations, environmental permitting, right-of-way requirements, coordination with the MDP Line 2 Project, and required agreements with Caltrans and UPRR. These items, along with the remaining funding gap, create uncertainty regarding the Project's ability to achieve RTL by the current TCEP deadline.

RCTC and the City will continue moving the Project forward as construction will proceed on the current schedule while aggressively pursuing the funding necessary to close the remaining gap. By continuing design, permitting, right-of-way, utility coordination, and agency agreements now, the City will position the Project to move into construction as soon as the necessary funding and approvals are secured.

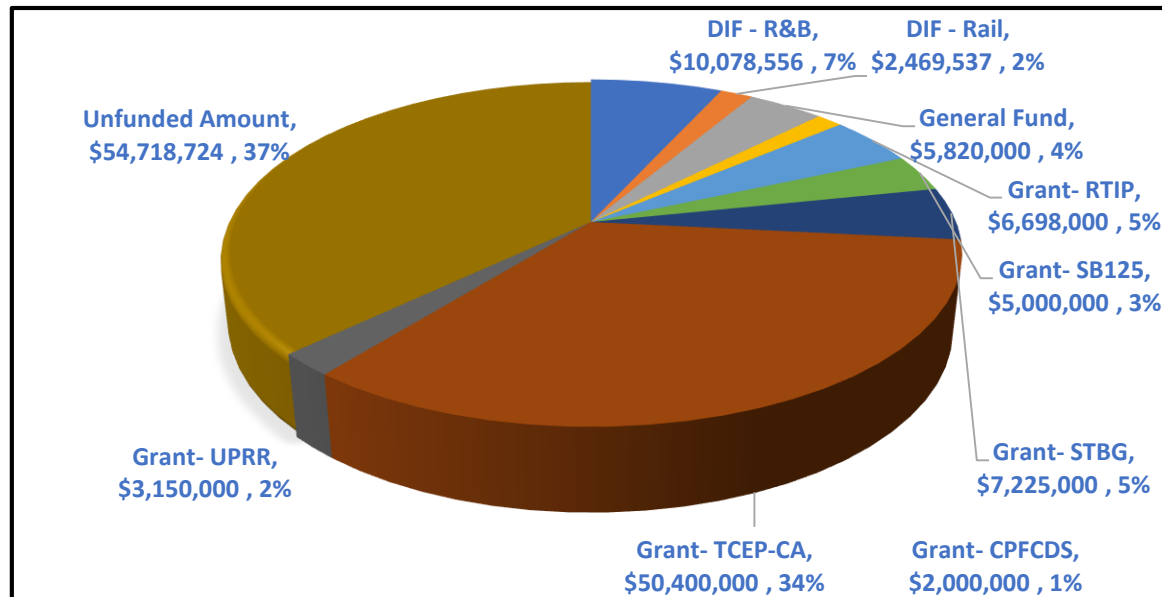
Fiscal Impact:

The following table summarizes the project's funding and budget.

CIP 2017- 012 Pennsylvania Avenue Grade Separation Project Funding Summary

Estimated Total Project Budget= \$147,559,817

Current Project Budget= \$92,841,093



CIP 2017- 012 Pennsylvania Avenue Grade Separation Project Budget Summary

Project Component	Est. Total Budget	Current Budget	Paid to Date	Remaining Budget
Construction	\$107,500,000	\$52,781,276		\$52,781,276
Construction Management	\$17,400,000	\$17,400,000		\$17,400,000
Design	\$17,200,817	\$17,200,817	\$(2,643,323)	\$14,557,494
Environmental	\$267,000	\$267,000	\$(240,034)	\$26,966
Equipment				
Permits & Agreements	\$5,000,000	\$5,000,000	\$(180,443)	\$4,819,557
Preliminary Services	\$112,000	\$112,000	\$(106,481)	\$5,520
Project Management	\$80,000	\$80,000	\$(78,476)	\$1,524
Right-of-Way				
Total	\$147,559,817	\$92,841,093	\$(3,248,756)	\$89,592,337

Alternatives:

As an alternative to withdrawing, the City and RCTC could continue advancing the project, though this approach carries a risk of missing the deadline and potential funding deprogramming.

Attachments:

- A. RCTC Presentation
- B. Project Timeline

Project Timeline

The following is a detailed timeline for project milestones and important submittals:

- December 19, 2017 – Contract award to Moffatt Nichol (M&N) for environmental services for 3 projects (Widening, Grade Separation, and Interchange)
- **June 19, 2018 – Contract Award to IDC for 35% level design**
- August 28, 2018 – Amendment #1 to IDC for additional surveying
- January 2, 2019 – Amendment #1 to M&N for additional regulatory permitting services
- May 2019 – IDC submitted final 35% plans to the City. They were not reviewed or approved by Caltrans or UPRR. Design was then paused until July 2022.
- February 2, 2021 – Amendment #2 for M&N for Penn Widening due to updated environmental regulations.
- **July 19, 2022 – IDC Amendment #2 for final design based on the understanding that the 35% design was complete.**
- August 2022 – CEQA NOE filed with the County of Riverside
- November 15, 2022 – Amendment #3 for M&N to add NEPA
- January 23, 2023 – UPRR Bridge Concept Plan Submittal #1 to UPRR
- February 16, 2023 – UPRR Type Selection Submittal #1
- April 10, 2023 – UPRR Type Selection Submittal #2
- June 11, 2023 – UPRR Type Selection Submittal #3
- December 5, 2023 – Amendment #4 for M&N for contract extension
- December 22, 2023 – UPRR Bridge Concept Plan Submittal #2 to UPRR
- January 29, 2024 – UPRR Bridge Concept Plan Submittal #3 to UPRR
- January 22, 2024 – Track and Shoofly Design Submittal to UPRR (preliminary)
- February 28, 2024 – GAD and DSDD Submittal #1 to Caltrans
- April 8, 2024 – Track and Shoofly Design Submittal to UPRR (10%)
- April 8, 2024 – UPRR Type Selection Submittal #4
- May 1, 2024 – GAD and DSDD Submittal #2 to Caltrans
- May 6, 2024 – UPRR Type Selection Submittal #5
- May 23 2024 - GAD and DSDD Submittal #3 to Caltrans
- June 24, 2024 – GAD & DSDD Submittal #4 to Caltrans
- August 26, 2025 – Track and Shoofly Design Submittal to UPRR (25%)
- September 12, 2024 – Caltrans Type Selection Report Submittal #1
- September 23, 2024 – 60% Structural Plans Submittal #1 to UPRR

- **October 1, 2024 – IDC Amended and Restated Agreement to complete final design**
- October 1, 2024 – M&N Amended and Restated Agreement to complete Environmental
- December 17, 2024 – Track and Shoofly Design Submittal to UPRR (25%)
- January 14, 2025 – GAD & DSDD Submittal #5 to Caltrans
- March 18, 2025 – GAD & DSDD Submittal #6 to Caltrans
- April 12, 2025 – Caltrans Type Selection Report Submittal #2
- April 14, 2025 – GAD & DSDD Submittal #7 to Caltrans
- May 12, 2025 – Track and Shoofly Design Submittal to UPRR (30%)
- May 12, 2025 - 60% Structural Plans Submittal #2 to UPRR
- July 21, 2025 – GAD & DSDD Submittal #8 to Caltrans
- August 8, 2025 – Caltrans Type Selection Report Submittal #3
- August 11, 2025 – GAD & DSDD Submittal #9 to Caltrans
- August 20, 2025 – Track and Shoofly Design Submittal to UPRR (90%)
- September 15, 2025 – Caltrans Signs CEQA SE
- September 26, 2025 – GAD & DSDD Submittal #10 to Caltrans
- October 16, 2025 - 60% Structural Plans Submittal #3 to HDR for review
- November 14, 2025 – Caltrans Signs NEPA CE
- **November 18, 2025 – RCTC Cooperative Agreement to City Council to manage the project**
- December 8, 2025 – GAD & DSDD Submittal #11 to Caltrans
- **Jan 16, 2026 – RCTC issues NTP to HDR to complete the design**
- March 13, 2026 – DSDD Approved by Caltrans
- April 10, 2026 – GAD Approved by Caltrans
- April 14, 2026 – Caltrans Type Selection Report Approved by Caltrans
- May 4, 2026 - 60% Structural Plans Submittal #3 to UPRR
- May 19, 2026 – 65% Civil Drawings Submitted to Caltrans
- July 16, 2026 – Track and Shoofly Design Submittal to UPRR (100%)
- July 24, 2026 - 60% Structural Plans Submittal #4 to UPRR